

TENTATIVE RULING FOR SEPTEMBER 11, 2026

Department R12 - Judge Kory Mathewson

Trico Business Center, L.P. v. Nextira LLC, et al. – CIVRS2502381

Motion: Renewed Motion for Set Aside Entry of Default

Movant: Defendant Todd Black (Pro Per)

Respondent: Plaintiff Trico Business Center, L.P.

Ruling: Renewed Motion for Set Aside Entry of Default is DENIED.

Respondent/Plaintiff provide Order and give notice.

Evidentiary Objections

Plaintiff objects to Defendant's Supplemental Declaration submitted concurrently with the Reply on the basis that it constitutes new evidence submitted on reply.

“‘[T]he general rule of motion practice ... is that new evidence is not permitted with reply papers,’ but ‘a recognized exception is for points ‘strictly responsive’ to arguments made for the first time in the opposition.’” (*Golden Door Properties, LLC v. Superior Court* (2020) 53 Cal.App.5th 733, 774, citations omitted.) The evidence is responsive to an argument raised in the Opposition. Therefore, the Court denies Plaintiff's evidentiary objections to Defendant's Supplemental Declaration.

Statement of Law

A motion to set aside a default may be brought pursuant to either Code of Civil Procedure section 473, subdivisions (b) or (d), section 473.5, or on equitable grounds.

Aside from statutory grounds, “courts have the inherent authority to vacate a default and default judgment on equitable grounds such as extrinsic fraud or extrinsic mistake.” (*Bae v. T.D. Service Co. of Arizona* (2016) 245 Cal.App.4th 89, 97.) The court's ability to grant relief under its inherent power is narrower than its ability to grant relief under section 473, subdivision (b). (*Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 901, fn. 8.) A party seeking relief under the court's equitable powers must satisfy the elements of a “stringent three-pronged test”: (1) a satisfactory excuse for not presenting a defense, (2) a meritorious defense, and (3) diligence in seeking to set aside the default. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 982-983 (*Rappleyea*).)

Furthermore, the statutory time limits on relief under Code of Civil Procedure section 473, subdivisions (b) or section 473.5, do not apply. After six months from entry of default, a trial court may still vacate a default on equitable grounds even if statutory relief is unavailable. (*Olivera v. Grace* (1942) 19 Cal.2d 570, 575-576.) The court may be asked to grant equitable relief from a default judgment whenever the “extrinsic fraud or mistake” is discovered. But once discovered, a party is expected to proceed diligently to seek relief. This requirement is “inextricably intertwined with prejudice” to the plaintiff. (*Rappleyea, supra*, 8 Cal.4th at pp. 983-984.)

Additionally, the law strongly favors trials on the merits, so any doubts about setting aside a default must be resolved in favor of the party seeking such relief. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233, superseded by statute on other grounds.) When the defaulting party moves promptly to seek relief and the opposing party has or will suffer little prejudice, very slight

evidence is required to justify setting aside a default. (*Ibid.*; *Shamblin v. Brattain* (1988) 44 Cal.3d 474, 478.)

ANALYSIS

Defendant seeks to set aside the entry of default pursuant to the Court's inherent, equitable power to set aside a judgment on the ground of extrinsic mistake.

As discussed above, a party seeking relief under the court's equitable powers must satisfy the elements of a "stringent three-pronged test": (1) a satisfactory excuse for not presenting a defense, (2) a meritorious defense, and (3) diligence in seeking to set aside the default. (*Rappleyea, supra*, 8 Cal.4th at pp. 982-983.)

Satisfactory Excuse

" 'Although the policy of the law is to favor a hearing on the merits of a case, courts are not required to set aside default judgments for defendants who flagrantly ignore the responsibility to present a defense.... The defendant must ... demonstrate a satisfactory excuse for not responding to the original action in a timely manner.' " (*Cruz v. Fagor America, Inc.* (2007) 146 Cal.App.4th 488, 503-504 (*Cruz*)). A defendant has a satisfactory excuse if it shows that an extrinsic fraud or extrinsic mistake occurred. (*Rappleyea, supra*, 8 Cal.4th at pp. 982-983.)

"Extrinsic fraud usually arises when a party is denied a fair adversary hearing because he has been 'deliberately kept in ignorance of the action or proceeding, or in some other way fraudulently prevented from presenting his claim or defense.' " (*Kulchar v. Kulchar* (1969) 1 Cal.3d 467, 471.) It occurs when " 'the unsuccessful party has been prevented from exhibiting fully his case, by fraud or deception practiced on him by his opponent, as by keeping him away from court, a false promise of a compromise; or where the defendant never had knowledge of the suit, being kept in ignorance by the acts of the plaintiff.' " In those situations, there has not been "a real contest in the trial or hearing of the case," and the judgment may be set aside to open the case for a fair hearing. (*Ibid.*)

On the other hand, "[e]xtrinsic mistake occurs 'when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits.' " (*Rappleyea, supra*, 8 Cal.4th at p. 981.) In contrast with extrinsic fraud, extrinsic mistake exists when the ground of relief is not so much the fraud or other misconduct of one of the parties as it is the excusable neglect of the defaulting party to appear and present his claim or defense. If that neglect results in an unjust judgment, without a fair adversary hearing, the basis for equitable relief on the ground of extrinsic mistake is present. [Citation.] Relief will be denied, however, if the complaining party's negligence permitted the fraud to be practiced or the mistake to occur." (*Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.)

In support of the contention that an extrinsic mistake occurred, Defendant testifies that in September 2024, he was experiencing severe financial hardship and was therefore considering filing for Chapter 7 bankruptcy relief. (Black Decl. ¶ 3.) During that time, Defendant consulted with a bankruptcy attorney who advised Defendant that he should stop making payments to his unsecured creditors and further advised Defendant that responding to collection lawsuits would be unnecessary because those claims would be resolved or rendered moot once bankruptcy

proceedings were commenced as a result of the automatic stay and anticipated discharge. (Black Decl. ¶¶ 4-5; Black Supp. Decl. ¶ 4.)

In reliance on that advice, between September 2024 and April 2026, Defendant stopped making payments to multiple creditors, did not respond to this lawsuit and two other lawsuits, and began to prepare to for the filing of a Chapter 7 bankruptcy petition. (Black Decl. ¶¶ 6-7.) However, Defendant ultimately decided not to pursue filing for bankruptcy in April 2026 and thereafter began addressing other pending lawsuits individually. Defendant prioritized other lawsuits until Defendant learned that his Answer had been rejected for filing on June 8, 2026, because his default had been entered earlier on July 22, 2025. (Black Decl. ¶¶ 8-13.) Because Defendant is not an attorney and had never encountered this situation before, Defendant did not initially understand that his default had been taken earlier because he did not understand that the clerk's signature and notation on the bottom of Plaintiff's Request for Entry of Default Request constituted the actual entry of default. Once Defendant understood this, he began preparing this Motion. (Black Decl. ¶¶ 14-16.)

In opposition, Plaintiff argues that the above facts cannot constitute an extrinsic mistake because Defendant admits that he received actual notice of the lawsuit and simply made a calculated choice not to respond to the lawsuit. Plaintiff points out that no external force caused Defendant to miss their deadline to respond to this Action or prevented Defendant from participating in this Action.

Plaintiff argues that the facts of this case are similar to *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13 (*Kramer*).

In *Kramer*, after the defendants answered the initial complaint, their counsel withdrew, and defendants subsequently chose not to participate in the case. (*Kramer, supra*, 56 Cal.App.5th at p. 19.) The plaintiff continued to serve defendants with all case documents, including an amended complaint, at their address of record. (*Ibid.*) But, in violation of the California Rules of Court, defendants changed their mailing address without giving notice to plaintiff or the trial court, and as a result, they did not receive any of the documents that plaintiff served on them after their counsel withdrew. (*Ibid.*) Eventually, default and default judgment were entered against them due to their failure to answer the amended complaint. (*Ibid.*) The defendants filed a motion to set aside the default and vacate the default judgment, arguing they were entitled to equitable relief because they had been prevented from responding to the amended complaint due to extrinsic fraud and extrinsic mistake. (*Id.* at pp. 19-20.)

The Court of Appeals reversed the trial court's ruling to grant the motion to set aside the default and vacate the default judgment, holding that equitable relief from a default judgment is reserved for exceptional circumstances, but noting that none existed there. (*Kramer, supra*, 56 Cal.App.5th at p. 20.) It further held that to the extent the defendants were unaware of the amended complaint, it was due to their own negligence in choosing not to participate in the proceedings. (*Ibid.*)

Plaintiff argues that the equitable relief should be similarly denied here in this Action under the holdings of *Kramer*. Plaintiff also points out that Defendant's purported confusion regarding

the status of his default in April 2026 did not cause or contribute to his default, which had already been entered 9 months earlier, and is therefore immaterial.

On Reply, Defendant argues that *Kramer* is distinguishable because he did not appear in this lawsuit and then disappear, violate any rules of the California Rules of Court, become unreachable, or wait until a default judgment was ultimately entered against him. Defendant argues that the Court should follow the holding in *Rappleyea*.

In *Rappleyea*, the defendants, Arizona residents, were personally served with a summons and complaint on November 1, 1990. (*Rappleyea, supra*, 8 Cal.4th at p. 978.) Defendants chose to proceed in propria persona and had an Arizona lawyer, telephone the Los Angeles Superior Court for information on filing procedures. (*Ibid.*) The clerk's office told the lawyer's staff that the filing fee was \$89. (*Ibid.*) However, the clerk's office had misadvised defendants' informal counsel. The \$89 fee was correct for a single defendant's answer. The correct filing fee for two defendants to answer was \$159. (*Ibid.*)

Defendants attempted to file their Answer by mail and enclosed a payment of \$89. (*Rappleyea, supra*, 8 Cal.4th at p. 978.) Their answer, if filed when first presented, would have been timely. (*Ibid.*) But when the Los Angeles Superior Court Clerk's Office received defendants' answer and \$89 check, it rejected and returned the answer. (*Ibid.*) Defendants promptly sent back their answer with the correct fee, but the answer was filed eight days late. (*Id.* at pp. 978-979.) Meanwhile, on the first possible day to do so, plaintiff had applied to the clerk to enter default against defendants and the clerk entered defendants' default that day. (*Id.* at p. 979.)

The California Supreme Court held that the clerk's misunderstanding of the number of answering defendants constituted an extrinsic mistake. (*Rappleyea, supra*, 8 Cal.4th at p. 983.) It noted that the court never intended to have defendants send the fee applicable to a sole defendant and thereby default, but that was the effect of the clerk's ministerial action. (*Ibid.*)

In contrast here, the purported mistake did not affect Defendant's ability to timely file an Answer. Instead, Defendant took absolutely no steps and deliberately chose not to participate in this Action. The facts demonstrate that Defendant understood the possible consequences of his choices but erroneously believed that any adverse consequences would be subsequently resolved or rendered moot once bankruptcy proceedings were commenced. (See Black Decl. ¶ 5.) But even with this belief, Defendant never filed bankruptcy which was the advice he was given and understood would resolve and render moot his responding to collection lawsuits. Consequently, its difficult for the Court to accept Defendant's reliance on advice that he never followed as a satisfactory excuse.

Defendant also cites *Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892 (*Carroll*), for the proposition that reliance on attorney conduct that deprives a client of a fair opportunity to be heard when the client is comparatively free from neglect can be an equitable exception for relief.

In *Carroll*, the defendant served on plaintiff's counsel a notice requesting production of three sets of documents. (*Carroll, supra*, 32 Cal.3d at p. 895.) Plaintiff's counsel requested and was granted four extensions of time to produce the documents, however, the documents remained

unproduced. (*Id.* at p. 896.) The defendant then filed a motion to compel production, which was granted by the court, and plaintiff's counsel did not appear at the hearing. (*Ibid.*) When counsel failed to comply with the court order, defendant went to court a second time, seeking a dismissal of the case for failure to comply with the court order or, alternatively, a second order compelling production. (*Ibid.*) The court granted the second motion to compel production and continued the motion to dismiss. Production was still not made, however, and eventually the court dismissed plaintiff's action as to the particular defendant. (*Ibid.*)

The defendant's counsel filed a motion for relief from the dismissal under Code of Civil Procedure section 473, asserting that none of the requested documents were in his or his client's possession and admitted that he had not been in touch with his client since July 23, 1979. (*Carroll, supra*, 32 Cal.3d at p. 896.) The trial court granted the motion to vacate the dismissal on condition that counsel and his client file declarations stating that they did not know the whereabouts of the requested documents. (*Ibid.*) When they failed to fulfill that condition, the motion to vacate the dismissal was taken off calendar. (*Ibid.*)

The defendant's counsel then filed a second motion for relief under section 473. In his newest declaration, defendant's counsel asserted that he had been informed by his client that she did, after all, possess the requested documents. (*Carroll, supra*, 32 Cal.3d at p. 896.) In fact, the client told counsel that at one point between July and August 1979, she had actually turned the documents over to him. Counsel asserted, however, that some time thereafter his office returned the documents to the client, though he himself had "no recollection of this rather disturbing event." (*Ibid.*) The trial court granted the second motion, noting that first, counsel had been "grossly negligent in the representation of plaintiff's interests"; and second, the court set the dismissal aside only because it felt that that penalty had been inappropriately harsh. (*Id.* at pp. 896-897.)

The California Supreme Court reversed the trial court's decision. (*Carroll, supra*, 32 Cal.3d at p. 901.) It noted that in general, a party who seeks relief under section 473 on the basis of mistake or inadvertence of counsel must demonstrate that such mistake, inadvertence, or general neglect was excusable "because the negligence of the attorney ... is imputed to his client and may not be offered by the latter as a basis for relief." (*Id.* at p. 898.) It held that the client's redress for inexcusable neglect by counsel is, of course, an action for malpractice. (*Ibid.*)

Nevertheless, the California Supreme Court noted that an exception to this general rule are those instances where the attorney's neglect is of that extreme degree amounting to *positive misconduct*, and the person seeking relief is relatively free from negligence. (*Carroll, supra*, 32 Cal.3d at p. 898, italics in original.) The exception is premised upon the concept the attorney's conduct, in effect, *obliterates the existence of the attorney-client relationship*, and for this reason his negligence should not be imputed to the client." (*Ibid.*, italics in original.)

The California Supreme Court thereafter analyzed a line of cases that fall within the "positive misconduct" exception, including *Daley v. Butte County* (1964) 227 Cal.App.2d 380, *Orange Empire Nat. Bank v. Kirk* (1968) 259 Cal.App.2d 347, and *Buckert v. Briggs* (1971) 15 Cal.App.3d 296, and noted that what each case had in common was a total failure on the part of counsel to represent the client. (*Carroll, supra*, 32 Cal.3d at pp. 899-900.) It held that under those circumstances, it would have been unconscionable to apply the general rule charging the client

with the attorney's neglect. (*Id.* at p. 900.) However, it noted that case before it was quite different, it noted that even though plaintiff's counsel grossly mishandled a routine discovery matter, no abandonment of the client appeared. (*Ibid.*)

Here, *Carroll* is inapplicable to the facts of the instant case because Defendant was never represented by counsel and no affirmative act of counsel caused Defendant's default. Although Defendant sought the advice of counsel and then mistakenly relied on that advice in his initial decision to not to participate in this Action, counsel's advice was never an actual barrier that prevented Defendant from actually participating in this lawsuit. Although such advice was questionable, Defendant remained free to choose his own course of action, including whether or not to participate in these proceedings. Furthermore, mistake is not a ground for relief when it " 'is simply the result of professional incompetence, general ignorance of the law, or unjustifiable negligence in discovering the law' " (*Henderson v. Pacific Gas & Electric Co.* (2010) 187 Cal.App.4th 215, 229-230.)

Additionally, the fact that Defendant chose to represent himself in this Action does not change this analysis. When a litigant represent himself in propria persona, "he is entitled to the same, but no greater, consideration than other litigants and attorneys" (*Bistawros v. Greenberg* (1987) 189 Cal.App.3d 189, 193) and is not entitled to lenient treatment on that basis (*Rappleyea, supra*, 8 Cal.4th at p. 979). "A doctrine generally requiring or permitting exceptional treatment of parties who represent themselves would lead to a quagmire in the trial courts, and would be unfair to the other parties to litigation." (*Id.* at pp. 984-985.)

As discussed above, the equitable relief sought by Defendant is reserved for "exceptional circumstances." (*Kramer, supra*, 56 Cal.App.5th at p. 20). It is not available where the complaining party's negligence permitted the mistake to occur. (*Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.)

Diligence

To qualify for equitable relief on the ground of extrinsic fraud or mistake, the moving party must demonstrate diligence in seeking to set aside the default once it was discovered. (*Rappleyea, supra*, 8 Cal.4th at p. 982.) Generally, diligence is measured from when the party discovers the default or default judgment against it. (*Id.* at p. 982.)

As is relevant here, Defendant's default was entered on July 22, 2025, and this Motion was filed on July 17, 2026.

Defendant explains that his initial failure to respond to the Complaint arose due to his reliance on the advice of bankruptcy counsel and his subsequent misunderstanding regarding the procedural status of this Action after his Answer was rejected. (Black Decl. ¶¶ 35-36.) After electing not to proceed with bankruptcy in April 2026, Defendant attempted to file an Answer on June 8, 2026. (Black Decl. ¶¶ 8-11.) After learning that he could not file his Answer because of the previously entered default, Defendant states that he acted diligently to investigate the matter and to prepare the present Motion. (Black Decl. ¶ 37.)

Considering all the evidence, Defendant did not act diligently. As demonstrated, Defendant knew of the Action, but chose not to participate until June 2026, almost an entire year after default had already been entered. A defendant that has knowledge of a lawsuit against it must be encouraged to act, not sit on its rights. (*Kramer, supra*, 56 Cal.App.5th at p. 38.) Even after Defendant elected not to proceed with bankruptcy in April 2026, Defendant elected to prioritize other lawsuits before participating in this Action. (See Black Decl. ¶ 9.) This resulted in a further 2 months delay before Defendant attempted to file his Answer in June 2026. (See Black Decl. ¶¶ 9-10.)

Furthermore, Defendant's lack of awareness of the entry of default does not alleviate a finding of lack of diligence in light of the fact that Defendant does not dispute that the Request for Entry of Default was served on him in or around July 2025. This lack of diligence precludes equitable relief. (*Cruz, supra*, 146 Cal.App.4th at p. 506 [lack of diligence where defendant inexplicably waited nine months to file motion for relief after learning of request for default].)

Therefore, Defendant's inability to satisfy the satisfactory excuse or diligence prongs, Defendant's Renewed Motion for Set Aside Entry of Default is denied.

Dated: September 11, 2026

Judge Kory Mathewson